

## Cisco Systems, Inc. (CSCO.US)

Technology · Communication Equipment  
Large Cap (>\$200B) · Report Date: June 27, 2026  
Latest financials: Q3 FY2025 · Model data as of 2026-06-27

BUY

Blended Target: \$159.64

DCF + Comps + Analyst (see cross-check table)

Implied upside: +40.3%

Price (Jun): \$113.77

### INVESTMENT HIGHLIGHTS

- **BUY** — blended target \$159.64 (+40.3% vs \$113.77); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

### INVESTMENT THESIS / EXECUTIVE SUMMARY

Cisco Systems, Inc. (CSCO) — Technology. Cisco Systems, Inc. designs, develops, and sells technologies that help to power, secure, and draw insights from the internet in the Americas, Europe, the... **BUY** rating; blended target \$159.64. See Investment Highlights above and valuation cross-check on page 2.

### KEY DATA & MARKET HIGHLIGHTS

| Item          | Value              | Item         | Value    |
|---------------|--------------------|--------------|----------|
| Market Cap    | \$448.42B          | Shares Out.  | 3941.4M  |
| 52-Week Range | \$65.75 – \$130.37 | P/E (TTM)    | 37.9x    |
| P/B           | 9.2x               | Beta         | 1.00     |
| Avg Volume    | 23.91M             | Analyst Rec. | Buy      |
| Revenue (TTM) | \$60.75B           | Rev Growth   | +12.0%   |
| Op. Margin    | 25.0%              | FCF (TTM)    | \$13.29B |



### FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

| Metric                  | FY 2024A | FY 2025A | FY 2026E | FY 2027E | FY 2028E |
|-------------------------|----------|----------|----------|----------|----------|
| Revenue (\$M)           | 53,803   | 56,654   | 63,452   | 69,258   | 74,214   |
| Revenue Growth (%)      | N/A      | 5.3%     | 12.0%    | 9.1%     | 7.2%     |
| Net Income (\$M)        | 10,320   | 10,180   | 11,402   | 12,445   | 13,335   |
| Net Income Growth (%)   | N/A      | -1.4%    | 12.0%    | 9.1%     | 7.2%     |
| Gross Margin (%)        | 64.7%    | 64.9%    | 64.3%    | 64.3%    | 64.3%    |
| Net Margin (%)          | 19.2%    | 18.0%    | 18.0%    | 18.0%    | 18.0%    |
| ROE (%)                 | 22.7%    | 21.7%    | 24.3%    | 24.1%    | 24.6%    |
| EPS (\$)                | 2.62     | 2.58     | 2.89     | 3.16     | 3.38     |
| Book Value / Share (\$) | 11.53    | 11.88    | 11.88    | 13.10    | 13.76    |
| P/E (x)                 | 43.45    | 44.05    | 39.33    | 36.03    | 33.63    |
| P/B (x)                 | 9.86     | 9.57     | 9.57     | 8.68     | 8.27     |
| Dividend Yield (%)      | 1.5%     | 1.5%     | 1.5%     | 1.5%     | 1.5%     |

VALUATION CROSS-CHECK

| Valuation Method                                       | Implied Price | vs. Current | Weight in Target | Notes                                                       |
|--------------------------------------------------------|---------------|-------------|------------------|-------------------------------------------------------------|
| DCF (Simon FCFE)                                       | \$72.44       | -36.3%      | 0% (excluded)    | DCF diverges >55% below comparable-implied value            |
| Profile template weights                               | —             | —           | —                | Standard operating company: DCF 32%, Comps 53%, Analyst 15% |
| Comps — P/E (peer median, trailing EPS)                | \$161.92      | +42.3%      | —                | Peer median P/E 54.0x                                       |
| Comps — P/E (peer median, forward EPS)                 | \$257.81      | +126.6%     | —                | Forward EPS × peer median P/E                               |
| Comps — 52-week range anchor                           | \$103.30      | -9.2%       | —                | Tri-mean of 52w high, low, and current (large cap)          |
| Comps — EV/EBITDA (peer median)                        | \$167.75      | +47.4%      | —                | Peer median 43.9x                                           |
| Comps — P/S (peer median)                              | \$187.84      | +65.1%      | —                | Peer median P/S 12.2x                                       |
| Comps — Blended (median of multiples + uplift anchors) | \$167.75      | +47.4%      | 80%              | Included in blend                                           |
| Analyst consensus (Yahoo Finance)                      | \$127.18      | +11.8%      | 20%              | Included in blend                                           |
| Blended target (weighted)                              | \$159.64      | +40.3%      | 100%             | Comps 80% + Analyst 20%                                     |
| Audit (≥30% vs price)                                  | —             | —           | —                | Triggered ( upside  ≥ 30%)                                  |

DCF VALUATION SUMMARY (SIMON FCFE)

| Item                | Value     |
|---------------------|-----------|
| Ke (cost of equity) | 9.52%     |
| Terminal g          | 4.00%     |
| FCFE growth         | 6.00%     |
| Base FCFE           | \$13.29B  |
| PV explicit (5Y)    | \$63.10B  |
| PV terminal         | \$222.42B |
| Equity value (adj.) | \$285.52B |
| Implied price       | \$72.44   |
| vs. current         | -36.3%    |

INDUSTRY ANALYSIS

1. Industry Overview

Cisco Systems, Inc. designs, develops, and sells technologies that help to power, secure, and draw insights from the internet in the Americas, Europe, the Middle East, Africa, the Asia Pacific, Japan, and China. The company offers data center switching; network security, identity and access management, and secure access service edge; threat intelligence, detection, and response solutions;...

2. Key Trends

- Moderate revenue expansion (12.0% YoY)
- Healthy operating margins (25.0%)
- Sector: Technology | Industry: Communication Equipment

3. Risk Factors

- Standard sector cyclicality and macro exposure

COMPETITOR ANALYSIS

| Ticker | Company                | Market Cap | P/E    | EV/EBITDA | Net Margin | Rev Growth |
|--------|------------------------|------------|--------|-----------|------------|------------|
| ANET   | Arista Networks, Inc.  | \$198.45B  | 54.0x  | 43.9x     | 38.3%      | +35.1%     |
| MSI    | Motorola Solutions, In | \$66.88B   | 32.5x  | 21.6x     | 17.6%      | +7.4%      |
| JNPR   | JNPR                   | N/A        | N/A    | N/A       | N/A        | N/A        |
| CIEN   | Ciena Corporation      | \$67.87B   | 158.8x | 86.9x     | 7.9%       | +39.5%     |
| CSCO*  | Cisco Systems, Inc.    | \$448.42B  | 37.9x  | 27.3x     | 19.7%      | +12.0%     |

\* Subject company. Trades at a discount on p/e vs peers; stronger profitability than peers. Strong revenue growth; high operating margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.